

Day 08 – Unit 8 : Indian Economy – I

1. Developing Economy – Concept

- **Nurkse** : "Under-equipped with **capital** in relation to population & natural resources."
- Term evolution : Underdeveloped → Backward → LDC → Developing → **Emerging Economy**
- India = **Lower-Middle Income Country** (World Bank)

► 12 Characteristics (yaad rakho)

1. Low per capita income
2. Predominance of agriculture
3. Rapid population growth
4. **Capital deficiency** → Nurkse's **Vicious Circle of Poverty**
5. Technological backwardness
6. Market imperfections
7. **Dualism** — **Boeke** (economic/social), **Higgins** (technological)
8. Unemployment + disguised unemployment
9. Poor human capital / low HDI
10. Unfavourable trade structure
11. Income inequality
12. Poor infrastructure

2. National Income – Formula Chain

$$GNP_{(MP)} = GDP_{(MP)} + NFIA \quad | \quad NNP_{(MP)} = GNP_{(MP)} - Depreciation$$

$$NNP_{(FC)} = NNP_{(MP)} - \text{Net Indirect Taxes} = \text{NATIONAL INCOME}$$

$$GVA_{(BP)} + \text{Product Taxes} - \text{Product Subsidies} = GDP_{(MP)}$$

$$\text{Expenditure : } GDP = PFCE + GFCE + GFCF + CIS + \text{Valuables} + (X - M)$$

► Methods & Institutional History

Year	Milestone
1868	Dadabhai Naoroji — first estimate (<i>Poverty & Un-British Rule</i>)
1931-32	V.K.R.V. Rao — first <i>scientific</i> estimate
1949	National Income Committee — Chairman P.C. Mahalanobis
1954 / 2019	CSO established / CSO + NSSO merged → NSO under MoSPI

3 Methods : **Product (Value Added)** • **Income (R+W+I+P+Mixed)** • **Expenditure**. India = **mixed method**.

3. Current Data – FY 2025-26

- ★ **BIGGEST UPDATE** : New GDP series with **base year 2022-23** (earlier 2011-12), released Feb 2026.
- Real GDP = ₹322.58 lakh cr, growth **7.6%** • Nominal GDP = ₹345.47 lakh cr (8.6%)
- Per Capita NNI = ₹2,19,575 (current prices) • ₹1,21,968 (constant)

► Sectoral Composition & Structural Change

Sector	1950-51	Today	FY26 Growth
Agriculture & Allied	~52%	~17%	3.1% (moderate)
Industry	~14%	~27%	Mfg & Constr. 7.0%
Services	~33%	~54%	upto 9.9% (driver)

⚠ **Exam Star Point** : India ne **Secondary stage skip** kiya (agriculture → services) = "**Leapfrogging**", Clark-Fisher pattern violate.
Result → **Jobless Growth**, **Premature Deindustrialisation** (Dani Rodrik), employment ~45% vs GVA ~17% = **disguised unemployment**.

4. Concept of Energy – Classifications

- **Source** : Non-Renewable (exhaustible) vs Renewable (inexhaustible)
- **Market** : Commercial (coal, oil, electricity) vs Non-Commercial (firewood, dung)
- **Technology** : Conventional vs Non-Conventional | **Usage** : Primary vs Secondary

⚠ **Traps** : Nuclear = non-fossil but NOT renewable (MNRE). Large Hydro counted as renewable only since 2019 (pehle sirf Small Hydro < 25 MW).

► Renewable vs Non-Renewable

Aspect	Non-Renewable	Renewable
Economic rule	Hotelling's Rule — scarcity rent grows at interest rate	Sustainable Yield — use ≤ regeneration
Cost	Low capital, high running cost	High capital , ~zero marginal cost
Reliability	Base-load, dispatchable	Intermittent → storage (BESS) needed

5. India's Energy Position (June 2026)

Item	Capacity	Item	Figure
Total Non-Fossil	297.36 GW	Renewable Energy	288.58 GW
Solar (~56% of RE)	162.15 GW	Wind	57.44 GW
Large Hydro	57.24 GW	Bio Power	11.75 GW
Nuclear (non-RE)	8.78 GW	RE in 2014	76.38 GW (4x growth)

★ Milestones :

- **June 2025** — 50% of installed capacity from non-fossil, **NDC target se 5 saal pehle**
- India = **3rd globally** in RE capacity (IRENA 2026) — Brazil ko peeche chhoda
- FY 2025-26 — record **55.3 GW** non-fossil addition (pichhla record 29.5 GW)
- Generation FY26 = 1,846 TWh; non-fossil share only **29.2%**
- July 2025 — renewables met **51.5%** of demand (highest ever) | FDI FY14-26 = \$45.72 bn

⚠ **MOST ASKED** : Installed Capacity ≠ Generation. Capacity share 50%+ but generation share only ~29% — kyunki **PLF** kam hai (solar ~20%, wind ~25%, coal ~68%).

► Targets — Panchamrit (COP26, Glasgow 2021)

- **1. 500 GW non-fossil by 2030** **2. 50% energy from RE** **3. 1 bn tonne CO₂ cut**
- **4. Carbon intensity -45% (2005 base)** **5. Net Zero by 2070**

► Schemes & Institutions

PM Surya Ghar • PM-KUSUM • National Green Hydrogen Mission • PLI Solar PV • Green Energy Corridor • Solar Parks • BESS-VGF • **ISA** (HQ Gurugram) • MNRE, **SECI**, IREDA • 100% FDI automatic route

► Key Economic Concepts

Energy Intensity = Energy Consumption ÷ GDP (India ki gir rahi hai ✓)

Energy Elasticity = %Δ energy ÷ %Δ GDP | **Jevons Paradox** — efficiency ↑ se total use bhi ↑

Challenges : ~85% crude import → CAD pressure • Intermittency / Duck Curve • DISCOM losses • Land acquisition • 5 states = 83.7% of solar+wind additions • Just Transition for coal states.

6. Institutional vs Technological Aspects

Basis	INSTITUTIONAL	TECHNOLOGICAL
Focus	Land ownership & relations — <i>who owns?</i>	Production techniques — <i>how to produce?</i>
Nature	Redistributive (equity) — politically hard	Productive (efficiency) — politically easy
India	X LARGELY FAILED	✓ LARGELY SUCCEEDED

★ **CORE ANSWER POINT** : India ne **technology pehle, institution baad mein** kiya → output badha par **inequality bhi badhi** = "betting on the strong".

Japan / South Korea / Taiwan ne ulta kiya (land reforms first) → **equitable growth**.

7. Land Reforms

► Pre-Independence Systems

System	Person	Year	Area
Permanent Settlement / Zamindari	Lord Cornwallis	1793	Bengal, Bihar, Odisha, UP (~57%)
Ryotwari	Thomas Munro / Read	1820	Madras, Bombay, Assam (~38%)
Mahalwari	Holt Mackenzie / R.M. Bird	1822	Punjab, NWFP, parts of UP (~5%)

► 4 + 1 Components — Success / Failure

- 1. **Abolition of Intermediaries** — **✓ MOST SUCCESSFUL**. UP Act **1950** (Madras 1948 first). ~2 cr tenants linked to state. *Loophole* : "personal cultivation" claim, evictions.
- 2. **Tenancy Reforms** — (a) rent limit **1/4 – 1/5** of produce (b) security of tenure (c) ownership rights.
Success : **Kerala & West Bengal — Operation Barga (1978)** [bargadars registered]. Failure : oral tenancy, "voluntary surrender".
- 3. **Ceiling on Holdings** — **X MOST FAILED** (only ~2% land redistributed).
1972 Guidelines : 10-18 acres (2-crop irrigated), 27 (1-crop), **54 acres** (dry); unit = **family of 5**.
Failure : benami transfers, fake partitions, exemptions, litigation, poor land records.
- 4. **Consolidation (Chakbandi)** — **✓ Punjab, Haryana, W-UP successful**.
- 5. **Cooperative Farming** — **X largely failed**.

Committees & Movements : J.C. Kumarappa Committee (1949) · **Bhoodan 1951 — Vinoba Bhave**, started from **Pochampalli (Telangana)** → Gramdan (Mangroth, UP) · P.S. Appu Committee (1972) · Land reform laws put in **9th Schedule** (1st Amendment, 1951) · **T. Hague Committee** → Model Land Leasing Act 2016 (NITI Aayog) · DILRMP · **SVAMITVA (2020)** drone survey.

8. Green Revolution (1966–67)

- Trigger** : 1965–66 drought, PL-480 imports — "ship-to-mouth existence"
- People** : **Norman Borlaug** (global father, Nobel 1970), **M.S. Swaminathan** (India), **C. Subramaniam** (Food Minister), B. Sivaraman
- Seeds** : **Sonora-64, Lerma Rojo** (wheat, Mexico); **IR-8** "miracle rice" (IRRI Philippines)
- Programmes** : **IADP 1960–61** = "Package Programme" (Ford Foundation, 7 districts) → **IAAP 1964–65** → **HYVP 1966–67**
- Shift** : **area-led growth → yield-led growth**

X Criticisms : Regional bias (Punjab/Haryana/W-UP only) · Crop bias (wheat >> pulses & oilseeds) · Class bias — **Francine Frankel, Ashok Rudra** · Ecological cost (water table, soil, monoculture) · "Green Revolution turning brown"

9. Agricultural Policy – Milestones

Year	Milestone
1965	CACP (as APC, renamed 1985) — recommends MSP for 23 crops ; FCI also 1965
2000	National Agriculture Policy — target 4% growth , "Rainbow Revolution"
2004-06	NCF — M.S. Swaminathan — demand : MSP = C2 + 50%
2007 / 2016	National Policy for Farmers (farmer-centric) / Ashok Dalwai — Doubling Farmers' Income
2020-21	3 Farm Laws → repealed Nov 2021

A2 = paid-out costs (incl. rent paid for leased-in land)

A2 + FL = A2 + imputed family labour → **Current MSP = (A2+FL) × 1.5**

C2 = A2+FL + **rental value of OWNED land** + **interest on OWNED capital** → Swaminathan demand

△ Sugarcane ke liye MSP nahi, **FRP (Fair & Remunerative Price)** hoti hai. **Criticisms** : only ~6% farmers benefit • regional & crop bias • water-guzzling monoculture • fiscal burden • **WTO Amber Box**, de minimis **10%**, Peace Clause.

Reforms : **PM-AASHA 2018** = PSS + **PDPS** (MP's Bhavantar model) + PPSS • PM-KISAN = decoupled income support (**Green Box**) • e-NAM.

► Current Schemes

PM-KISAN (₹6,000/yr) • PMFBY (₹2 lakh cr claims) • e-NAM • Soil Health Card • PM-KUSUM • AIF (₹1 lakh cr) • 10,000 FPOs • National Mission on Natural Farming

★ **PM Dhan-Dhaanya Krishi Yojana (PMDDKY)** : ₹24,000 cr/year × 6 years from FY 2025-26 • **100 districts** • **36 schemes converged** • **1.7 crore farmers** • Aspirational Districts model • Criteria = low productivity + moderate crop intensity + below-average credit.

10. Rural Credit

Malcolm Darling : "The Indian farmer is born in debt, lives in debt, dies in debt and bequeaths debt."

Non-institutional share : **93% (1951)** → **~35% today** — abhi bhi high △

Year	Development	Year	Development
1904	Cooperative Credit Societies Act	1982	NABARD — Sivaraman / CRAFTICARD
1954	Gorwala Cttee — "Cooperation has failed, but must succeed"	1992	SHG-Bank Linkage (NABARD)
1969	Bank Nationalisation (14 banks)	1998	KCC — R.V. Gupta Committee
1975	RRBs — Narasimham Working Group	2004	Vaidyanathan Cttee (coop. revival)

PSL Targets : Total **40%** of ANBC • Agriculture **18%** • Small & Marginal Farmers **10%** • Weaker Sections **12%** • Micro 7.5%

Shortfall → deposit in **RIDF** with NABARD. Coop. structure : **PACS** → **DCCB** → **StCB**

★ **KCC (Latest)** : Launched **1998**; limit raised **₹3 lakh → ₹5 lakh** (Budget 2025-26). **MISS** : 7% interest — 3% prompt-repayment incentive = **effective 4%**. Collateral-free upto **₹2 lakh**. **7.72 crore** active cards, outstanding **₹10.2 lakh crore**.

11. Public Distribution System – Evolution

Year	Stage / Feature
till 1992	Universal PDS (no targeting)
1992	RPDS — Revamped PDS : hilly, remote, tribal areas
June 1997	TPDS — Targeted PDS : APL / BPL distinction
Dec 2000	AAY — Antyodaya Anna Yojana : poorest of poor, 35 kg/household
2013	NFSA — rights-based legal entitlement

✗ **Problems** : Leverages (46.7% per Shanta Kumar) • Exclusion (Type I) & Inclusion (Type II) errors • poor quality grain • regional variation (TN, Chhattisgarh good; Bihar, UP weak) • high FCI carrying cost.

✓ **Reforms** : ONORC (portability) • ePoS + Aadhaar seeding • DBT pilots (Chandigarh, Puducherry, D&NH) • fortified rice • Chhattisgarh model.

12. Food Security

FAO (1996) — 4 Pillars : Availability • Access • Utilisation • Stability

Amartya Sen (Poverty and Famines, 1981) : famine = "exchange entitlement failure", not Food Availability Decline (FAD). Bengal 1943 — food th, purchasing power nahi. → ACCESS > AVAILABILITY

► NFSA 2013 — Numbers

Feature	Detail
Coverage	75% rural + 50% urban = ~81.35 crore people
Priority Household	5 kg per person per month
AAY Household	35 kg per household per month
Original prices	Rice ₹3, Wheat ₹2, Coarse grains ₹1 / kg
Head of household	Eldest woman ≥ 18 years for ration card
Others	Maternity benefit ₹6,000 • ICDS + PM POSHAN • DGRO + State Food Commission

★ **PMGKAY** : April 2020 launch — world's largest food security programme.

Cabinet approval 29 Nov 2023 → free foodgrains till 31 December 2028 • 81.35 crore beneficiaries • 5.44 lakh Fair Price Shops • 5-year outlay ₹11.80 lakh crore (100% Centre-funded).

► Shanta Kumar Committee (2015) — FCI Restructuring

- NFSA coverage 67% → 40% | entitlement 5 kg → 7 kg
- Decentralise procurement (DCP model) — NOT centralise △
- Move toward cash transfer / DBT; FCI to focus on buffer + PDS logistics; leakage 46.7%

Challenges : "Hidden Hunger" (micronutrient deficiency) • stunting / wasting / anaemia (female anaemia 57%, NFHS-5) • GHI ranking controversy • climate risk • fiscal cost • millets push (2023 = Int'l Year of Millets, "Shree Anna").

Day 08 – Unit 8 (contd.) • POPULATION

13. India's Population – Current Data

Indicator	Value	Indicator	Value
Population (mid-2026)	~1.476 billion	Growth rate	0.86% (1961 peak 2.41%)
TFR	~1.9 (below 2.1) ✓	Projected peak	~1.70 bn in 2062
Sex Ratio (Census 2011)	943	Child Sex Ratio	919
Sex Ratio at Birth (NFHS-5)	929 (norm ~952)	Density	~497 / km ²

Kerala 1,084 — only female-majority state (2011); Puducherry 1,037 only UT. "Son-preference corridor" = Haryana, Punjab, Rajasthan, W-UP, Gujarat.

14. Census 2027 — ★ Biggest Current Affairs

Item	Detail
Number	16th Census of India, 8th since Independence
Phase I — House Listing (HLO)	1 April – 30 September 2026 (30-day window per State/UT)
Phase II — Population Enum.	February 2027
Reference Date ("Census Moment")	00:00 hrs, 1 March 2027
Snow-bound (Ladakh, J&K, HP, Uttarakhand)	00:00 hrs, 1 October 2026
Budget / Enumerators / RGI	₹11,718.24 crore / 31 lakh+ / Mritunjay Kumar Narayan

3 HISTORIC FIRSTS : 1. India's first fully digital census (mobile app, no paper) 2. First Self-Enumeration option 3. First Caste Enumeration since 1931 — in Phase II (CCPA decision, 30 Apr 2025), not Phase I ⚠

15. Demographic Transition & Structure

Stage	Birth Rate	Death Rate	Example
I — High Stationary	High	High	Pre-1921 India
II — Early Expanding	High	Falling	India 1921–1981
III — Late Expanding	Falling	Low	INDIA TODAY
IV / V — Low Stationary / Declining	Low	Low	Kerala, TN / Japan, China

Theory : Thompson (1929), Frank Notestein (1945), C.P. Blacker (5 stages).

★ 1921 = "GREAT DIVIDE" / Demographic Divide Year — isse pehle fluctuating, iske baad continuous growth.

Population Momentum : TFR < 2.1 hone ke baad bhi population badhta hai (reproductive age group bada hai).

Age Group	Census 2011	Now	Trend
0–14 (Young)	30.8%	~25%	↓ Declining
15–59 (Working)	~60%	~66%	↑ At peak
60+ (Elderly)	8.6%	~11%	↑ Rising fast

Dependency Ratio = $[(0-14) + (60+)] \div (15-59) \times 100 \rightarrow$ India at historic low

★ DEMOGRAPHIC DIVIDEND : term by Bloom & Williamson. India's window 2005–06 to 2055–56 (peak ~2041). Median age ~29 (China 40, Japan 49). East Asian Miracle = 1/3 of growth from dividend.

⚠ Conditions warning "Demographic Disaster" : Education/Skilling • Jobs • Health & Nutrition • Female LFPR.

⚠ North-South divergence : South ageing (window closing), North (Bihar, UP, MP, Raj.) still young →

Day 08 – ★ LAST-MINUTE REVISION SHEET

25 One-Liners – Exam Se Pehle Ye Dekh Lena

- 1. National Income = **NNP at Factor Cost**; $GNP = GDP + NFIA$
- 2. New GDP series base year = **2022-23**; Real GDP growth FY26 = **7.6%**
- 3. Per capita NNI = **₹2,19,575**; Mahalanobis = National Income Committee (1949)
- 4. Services = **~54%** of GVA; Agriculture = **~17%** GVA but **~45%** employment
- 5. Non-fossil capacity **297.36 GW**; RE **288.58 GW**; Solar **162 GW**; rank **3rd**
- 6. 50% non-fossil milestone = **June 2025** (5 yrs early); Target **500 GW by 2030, Net Zero 2070**
- 7. **Capacity 50% but Generation only 29.2%** — PLF ki wajah se
- 8. Nuclear = non-fossil, **NOT renewable**
- 9. Institutional reform **failed**, technological **succeeded** → inequality badhi
- 10. Zamindari abolition = **most successful**; **Ceiling = most failed** (~2% land)
- 11. Operation Barga = **West Bengal, 1978**; Kerala best in tenancy reform
- 12. Ceiling 1972: **10-18 acres** irrigated, **54 acres** dry, unit = family of 5
- 13. Green Revolution **1966-67**; IADP **1960-61** (Package Programme)
- 14. MSP = **$(A2+FL) \times 1.5$** ; Swaminathan wanted **C2 + 50%**
- 15. CACP **1965** (renamed 1985), **23 crops**; sugarcane = **FRP**
- 16. **NABARD 1982** = Sivaraman/CRAFICARD; **RRB 1975** = Narasimham WG; **Gorwala 1954** ≠ NABARD ⚠
- 17. PSL: **40%** total, **18%** agri, **10%** SMF, **12%** weaker sections
- 18. KCC limit = **₹5 lakh**; effective interest **4%**; 7.72 cr cards
- 19. TPDS **1997**, AAY **Dec 2000**, NFSA **2013**
- 20. NFSA: **75% rural / 50% urban**, **81.35 crore**, 5 kg per person
- 21. PMGKAY free till **Dec 2028**, outlay **₹11.80 lakh crore**
- 22. Shanta Kumar 2015: leakage **46.7%**, coverage → 40%, **decentralise** procurement
- 23. Amartya Sen = **Entitlement Failure**, not FAD
- 24. **1921 = Great Divide Year**; India in **Stage III** of demographic transition
- 25. Census 2027 = **16th**, first digital, first caste count since **1931**, ref. date **1 March 2027**

⚠ 6 Traps Jinme Log Galti Karte Hain

1. $GNP = GDP + NFIA$ — minus nahi X
2. Installed Capacity ≠ Generation (energy) — 50% vs 29.2%
3. Caste enumeration = Phase II, House-listing phase nahi
4. Gorwala Committee ≠ NABARD — NABARD ki sifarish Sivaraman ne ki
5. C2 mein rent on **OWNED** land aata hai; paid rent to **A2** mein hai
6. Shanta Kumar ne procurement **decentralise** karne ko kaha, centralise nahi

✓ Day 08 Complete — Unit 8 : Indian Economy - I

Next → Day 09 : Indian Economy - II (Industry, Foreign Trade, Poverty & HDI)